

Research Review: Assignment of Responsibility Elaine Walster of the University of Hawaii³ presents an interesting example of outcome bias through her research on the attributions of responsibility for doing harm. Walster presented subjects with information about a hypothetical person and a description of an accident in which the person was involved. Some subjects were informed that the person's parked car rolled a short distance down a hill and struck a tree stump, resulting in minor damage. Others were informed that the car rolled all the way down the hill and struck a tree, resulting in considerable damage. Whether or not the hypothetical person and other people were or could have been injured also varied. Results revealed that subjects attributed more responsibility for the accident to the stimulus person when the consequences of the accident were severe rather than mild. From an investment perspective, we can extrapolate this example. Investors tend to ascribe more meaning to more drastic outcomes (either positive or negative) than they do to mild ones. This means that investors can irrationally avoid or be drawn to managers who have dramatic moves in their returns as opposed to those who do not, rather than focusing on the process by which the outcome arose.

DIAGNOSTIC

This section contains a diagnostic quiz that can help to detect susceptibility to outcome bias. In the Advice section that follows, you will find guidelines for scoring responses to this quiz, along with corresponding suggestions for managing outcome bias.

- Question 1:** You are contemplating making an investment in small-cap U.S. equities. Before proceeding with an investment, you decide to research the track record of a mutual fund manager that has outperformed her index, the Russell 2000, by 600 basis points per annum over the past five years. How likely would you be to then seek information to understand what strategy was used and what kinds of risks were taken to achieve this result before investing (i.e., you might not invest if you think the manager might be taking too much risk)?
- a. Very unlikely
 - b. Unlikely
 - c. Likely
 - d. Very likely